Business Environment

Course: CPA — Certified Public Accountant
Level: Foundation Level 1
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Syllabus version: Based on the standard KASNEB CPA Foundation Level Business Environment syllabus structure (business organisation, the operating environment, entrepreneurship, ethics and sustainability). Authored from general professional business-studies knowledge and standard syllabus topic coverage, not copied from any existing notes provider. Cross-check the topic list against the current official KASNEB syllabus gazette before the exam.

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1. Nature and scope of business

A business is an organisation that combines resources — land, labour, capital, and enterprise — to produce goods or services with the aim of satisfying customer needs, usually in pursuit of profit (though not-for-profit and public-sector entities pursue non-financial objectives with the same resource-combination logic).

1.1 Factors of production

Factor	Description	Reward
Land	Natural resources used in production	Rent
Labour	Human physical and mental effort	Wages/salaries
Capital	Man-made resources used to produce further goods (machinery, buildings, finance)	Interest
Enterprise	The risk-taking, organising, and decision-making function	Profit

1.2 Why businesses exist

- To convert inputs into outputs more efficiently than individuals could alone (division of labour, economies of scale).
- To bear risk on behalf of society in exchange for the prospect of profit.

- To create employment and generate government revenue through taxation.

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2. Forms of business organisation

Form	Legal status	Liability	Key feature
Sole proprietorship	Not a separate legal entity	Unlimited	Owner keeps all profit, bears all risk, simplest to start
Partnership	Not a separate legal entity (in most common forms)	Unlimited (general partners)	Governed by a partnership agreement; partners share profit/loss and management
Limited liability partnership (LLP)	Separate legal entity	Limited to capital contributed	Combines partnership flexibility with limited liability
Private limited company	Separate legal entity	Limited to unpaid share value	Shares not offered to the public; restricted transferability
Public limited company	Separate legal entity	Limited to unpaid share value	Can offer shares to the public, may list on a stock exchange (e.g. Nairobi Securities Exchange)
Co-operative society	Separate legal entity	Limited (member shares)	Owned and controlled by members for mutual benefit, one-member-one-vote
State corporation / parastatal	Separate legal entity, government-owned	Limited	Established by statute to deliver a public service or strategic function

2.1 Choosing a form: key trade-offs

- Control vs capital access: sole proprietors retain full control but find it harder to raise large capital; public companies can raise significant capital but dilute control.
- Liability exposure: unlimited-liability forms (sole trader, general partnership) put personal assets at risk if the business fails.
- Continuity: a company has "perpetual succession" — it continues to exist regardless of changes in ownership; a sole proprietorship ends with the owner.
- Compliance burden: companies face more statutory reporting and governance obligations (e.g. under the Companies Act, 2015 in Kenya) than sole proprietorships.

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3. The business environment: PESTEL analysis

The PESTEL framework analyses the macro-environmental (external) factors affecting a business, none of which the business can directly control but all of which it must respond to.

Factor	Examples
Political	Government stability, trade policy, taxation policy, regulation of specific industries
Economic	Inflation, interest rates, exchange rates, unemployment, GDP growth, disposable income
Social	Demographics, lifestyle trends, education levels, consumer attitudes, urbanisation
Technological	Automation, digital payment adoption (e.g. mobile money), R&D investment, innovation cycles
Environmental	Climate change, resource scarcity, environmental regulation, sustainability expectations
Legal	Employment law, consumer protection law, competition/anti-trust law, contract law

3.1 Worked mini-case

A Kenyan agro-processing firm is considering exporting packaged snacks to a neighbouring East African Community (EAC) member state.

- Political: EAC common market protocols may reduce tariff barriers, but political relations between the two states can shift quickly.
- Economic: exchange rate volatility affects the shilling-equivalent price competitiveness of exports.
- Social: taste preferences and packaging language expectations differ across the region.
- Technological: mobile-money interoperability across borders affects how easily buyers can pay.
- Environmental: packaging waste regulations may require recyclable materials.
- Legal: the firm must comply with the destination country's food safety and labelling standards, in addition to Kenyan export regulations.

Memory aid — "Please Eat Sweet Tasty Egg Lunches" (Political, Economic, Social, Technological, Environmental, Legal) — or build your own mnemonic; the key is being able to generate at least two examples per factor under exam time pressure.

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4. The internal environment and stakeholder analysis

4.1 Internal resources and capabilities

Unlike PESTEL factors, internal factors (finance, staff skills, brand reputation, systems, culture) are largely within management's control. A common technique to assess them alongside external factors is SWOT analysis (Strengths, Weaknesses — internal; Opportunities, Threats — external).

4.2 Stakeholders

Stakeholder	Primary interest	Power to influence
Shareholders/owners	Return on investment	High (voting rights, capital withdrawal)
Employees	Job security, fair pay, working conditions	Medium (collective bargaining, productivity)
Customers	Value, quality, reliability	Medium–high (purchasing decisions, brand switching)
Suppliers	Timely payment, ongoing orders	Medium (supply terms, credit)
Government	Tax compliance, legal compliance	High (regulation, licensing)
Local community	Employment, environmental impact	Low–medium (reputation, social licence to operate)
Lenders	Debt servicing ability	High (loan covenants, access to future credit)

A stakeholder mapping matrix (power vs interest) helps prioritise engagement: stakeholders with high power and high interest (e.g. major shareholders, regulators) require the closest management, while those with low power and low interest need only minimal monitoring.

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5. Entrepreneurship and small business

5.1 Characteristics of an entrepreneur

- Willingness to bear risk and uncertainty in pursuit of opportunity.
- Innovation — combining resources in new ways, or identifying unmet needs.
- Initiative and self-direction, often operating with limited resources.

5.2 Small and medium enterprises (SMEs) in the Kenyan economy

SMEs are widely recognised as major contributors to employment and GDP in Kenya, but face characteristic challenges:

Challenge	Explanation
Access to finance	Limited collateral and credit history restrict access to formal bank lending
Regulatory compliance costs	Licensing, tax registration, and statutory filings can be disproportionately burdensome relative to size
Market access	Difficulty competing with larger firms for distribution channels and large contracts
Managerial capacity	Owner-managers often lack formal training in finance, marketing, or operations
Infrastructure	Inconsistent power supply, transport, and connectivity raise operating costs

5.3 Business plans

A business plan typically covers: executive summary, business description, market analysis, organisation and management structure, product/service description, marketing and sales strategy, funding request (if applicable), and financial projections. Its core purpose is to test the viability of an idea on paper before committing real resources, and to communicate that viability to financiers.

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6. Business ethics and corporate governance

6.1 Business ethics

Ethics concerns what is *right*, not merely what is *legal* — an action can be legal but still unethical. Common ethical issues in business include conflicts of interest, bribery and facilitation payments, misleading advertising, and unfair treatment of employees or suppliers.

6.2 Corporate governance

Corporate governance is the system by which companies are directed and controlled, balancing the interests of shareholders, management, and other stakeholders.

Core principles:

- Accountability — the board answers to shareholders for the company's performance and conduct.
- Transparency — timely, accurate disclosure of material information.
- Fairness — equitable treatment of all shareholders, including minority shareholders.
- Responsibility — the board acts in the best interest of the company as a whole, not narrow personal interest.

In Kenya, listed companies are guided by the Code of Corporate Governance Practices for Issuers of Securities, issued by the Capital Markets Authority, in addition to the Companies Act, 2015.

6.3 The board of directors

Role	Description
Executive directors	Involved in day-to-day management (e.g. CEO, CFO)
Non-executive directors	Provide independent oversight, not involved in daily operations
Independent directors	Non-executive directors with no material relationship with the company, expected to challenge management objectively
Company secretary	Ensures the board follows proper procedure and complies with statutory requirements

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7. Corporate social responsibility and sustainability

Corporate social responsibility (CSR) is the idea that businesses have obligations to society beyond maximising shareholder profit — to employees, communities, and the environment.

7.1 The triple bottom line

A useful framework: businesses should measure performance not just on Profit, but also on People (social impact) and Planet (environmental impact).

7.2 Sustainability considerations

- Resource efficiency — reducing energy, water, and material use per unit of output.
- Waste management — reducing, reusing, and recycling production waste.
- Climate risk — physical risks (e.g. drought affecting agricultural supply chains) and transition risks (e.g. new carbon regulation) both affect long-term business viability.
- Reporting — increasingly, larger businesses publish sustainability or integrated reports alongside financial statements.

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8. Government, law, and business

8.1 Why governments intervene in markets

- To correct market failure (e.g. monopolies, externalities like pollution, information asymmetry).
- To raise revenue through taxation for public goods and services.

- To protect consumers, workers, and the environment through regulation.
- To pursue macroeconomic stability (inflation control, employment, growth).

8.2 Key areas of business law affecting operations

Area	Purpose
Contract law	Governs enforceable agreements between parties
Company law	Governs formation, management, and dissolution of companies
Employment law	Governs the employer–employee relationship, minimum standards
Consumer protection law	Protects buyers from unfair trade practices, defective goods
Competition law	Prevents anti-competitive practices such as cartels and abuse of dominant market position
Tax law	Governs the assessment and collection of taxes (income tax, VAT, etc.)

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9. The international business environment

9.1 Why businesses go international

Market expansion, access to cheaper inputs, diversification of risk, and pursuit of comparative advantage.

9.2 Modes of entry into foreign markets

Mode	Description	Risk/control trade-off
Exporting	Selling goods produced domestically into a foreign market	Low risk, low control
Licensing/franchising	Allowing a foreign party to use intellectual property/brand for a fee	Low risk, moderate control
Joint venture	Partnering with a local firm to share resources and risk	Moderate risk, shared control
Wholly owned subsidiary	Establishing full ownership of operations abroad	High risk, high control

9.3 Trade blocs relevant to Kenyan business

Kenya participates in regional integration frameworks such as the East African Community (EAC) and the African Continental Free Trade Area (AfCFTA), which aim to reduce tariff and non-tariff barriers to trade among member states, expanding the addressable market for Kenyan businesses but also exposing them to increased regional competition.

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10. Business communication essentials

Clear communication underpins every business function. Key principles (the "7 Cs"): messages should be Clear, Concise, Concrete, Correct, Coherent, Complete, and Courteous.

Channel	Best suited for
Formal report	Detailed analysis requiring a permanent record
Memo	Brief internal communication
Email	Routine internal and external correspondence
Meeting/presentation	Discussion requiring immediate feedback or persuasion
Notice board/circular	Announcements to a broad internal audience

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11. Full worked case-study question

Scenario (original): Waweru, a university graduate, wants to start a small business assembling and selling solar-powered phone chargers to rural retailers in Kenya. He has KSh 300,000 in savings and is unsure whether to register as a sole proprietor or a private limited company, and asks for your advice, plus an analysis of the environment he is entering.

Required: (a) Advise Waweru on the choice of business form, with reasons. (b) Conduct a brief PESTEL analysis of the venture. (c) Identify two key stakeholders and their primary interest in the venture.

Model answer:

(a) Business form advice

A sole proprietorship would let Waweru start quickly with minimal registration formalities and retain full control and profit. However, given that assembling and distributing electronic products carries product-liability risk (e.g. a faulty charger causing a fire) and he may need to raise supplier credit or bank finance as the business grows, a private limited company is the stronger recommendation: it gives Waweru limited liability, protecting his personal assets beyond his share capital, and can make it easier to raise external finance or bring in a co-founder later by issuing shares, at the cost of increased compliance (statutory filings, at least two directors under certain company structures, and formal accounting records).

(b) PESTEL analysis (brief)

- Political: government rural electrification and renewable-energy promotion policies may support demand.
- Economic: rural disposable income is lower, so price sensitivity will be high; input costs may be affected by import duties on solar components.
- Social: many rural areas remain off-grid, creating a genuine need for solar charging solutions.
- Technological: reliance on imported solar cells/batteries; local assembly capability and after-sales repair skills are a constraint.
- Environmental: the product itself is environmentally positive (renewable energy), which can be a marketing strength; battery disposal at end-of-life needs a responsible plan.
- Legal: electronic products sold in Kenya must meet Kenya Bureau of Standards (KEBS) requirements; consumer protection law governs warranty obligations.

(c) Key stakeholders

- Rural retailers (customers/distribution partners): interested in reliable stock, fair margins, and manageable payment terms (e.g. credit).
- Component suppliers (often importers of solar cells/batteries): interested in timely payment and growing order volumes as the business scales.

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12. Self-assessment question bank (original questions, with model answers)

Q1. Distinguish between a partnership and a private limited company on the basis of liability and continuity. *(4 marks)*

Model answer: In a general partnership, partners have unlimited liability — personal assets can be used to settle business debts — and the partnership typically dissolves on the death, retirement, or withdrawal of a partner unless the agreement provides otherwise. A private limited company gives shareholders liability limited to the amount unpaid on their shares, and it has perpetual succession — it continues to exist independently of changes in its shareholders or directors.

Q2. Using the PESTEL framework, identify which factor each of the following belongs to: (i) a new minimum wage law, (ii) rising mobile-money adoption, (iii) a prolonged drought affecting agricultural supply. *(3 marks)*

Model answer: (i) Legal (or Political, as labour policy) — a minimum wage law is a legal/regulatory factor. (ii) Technological — mobile-money adoption is a technology-driven shift in how transactions occur. (iii) Environmental — drought is a physical environmental factor affecting supply chains.

Q3. Explain "limited liability" and why it matters to a small business owner raising external finance. *(3 marks)*

Model answer: Limited liability means an owner's potential loss is capped at the amount they have invested (e.g. unpaid share capital), protecting personal assets from business creditors. This matters when raising external finance because investors and the owner alike are more willing to commit capital knowing that business failure will not automatically expose personal wealth beyond the investment made, making the limited liability structure more attractive to outside investors than an unlimited-liability form.

Q4. State three principles of good corporate governance and explain one of them. *(4 marks)*

Model answer: Accountability, transparency, and fairness (responsibility is also acceptable). Explanation of accountability: the board of directors must answer to shareholders for the company's strategic decisions and performance, typically through mechanisms such as annual general meetings, published financial statements, and the right of shareholders to question or remove directors.

Q5. What is meant by "market failure," and give one example of government intervention that addresses it. *(3 marks)*

Model answer: Market failure occurs when the free market, left alone, fails to allocate resources efficiently — for example, a monopoly restricting output to raise prices, or a factory polluting a river without bearing the cost of the harm (a negative externality). Government intervention example: environmental regulation requiring the factory to treat effluent before discharge, forcing it to internalise the pollution cost.

Q6. Identify two challenges commonly faced by SMEs in accessing formal bank finance in Kenya. *(2 marks)*

Model answer: (i) Limited collateral or a weak/absent credit history, making banks perceive SME lending as high risk; (ii) high interest rates and stringent loan conditions relative to the scale and cash flow predictability of a small business.

Q7. Explain the "triple bottom line" concept in the context of corporate social responsibility. *(3 marks)*

Model answer: The triple bottom line proposes that businesses should evaluate and report their performance across three dimensions — Profit (financial performance), People (social impact, including employees, customers, and communities), and Planet (environmental impact) — rather than focusing solely on financial profit.

Q8. Explain one advantage and one disadvantage of exporting as a mode of entry into a foreign market, compared with establishing a wholly owned subsidiary. *(3 marks)*

Model answer: Advantage of exporting: lower risk and capital commitment, since the firm does not need to invest in foreign production facilities. Disadvantage: lower control over how the product is marketed and distributed locally, and potential exposure to tariffs or trade barriers that a locally established subsidiary might avoid.

Q9. Using a stakeholder power/interest matrix, explain how a company should treat a stakeholder with high power but low interest in day-to-day operations. *(3 marks)*

Model answer: A stakeholder with high power but low interest (e.g. a regulator that only intervenes on major compliance breaches) should be kept satisfied — the company should ensure their core requirements are consistently met and avoid actions that would trigger their active involvement, without necessarily investing heavily in ongoing engagement, since their interest in routine operations is low.

Q10. Explain why "legal" and "ethical" are not always the same thing in business decision-making, with an example. *(3 marks)*

Model answer: A legal action complies with the law currently in force, but ethics concerns broader standards of right and wrong that may exceed minimum legal requirements. Example: it may be legal for a company to pay the statutory minimum wage while offering no additional benefits, but stakeholders may consider it unethical if that wage is demonstrably insufficient for a decent standard of living in that context.

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13. Exam technique and revision checklist

- For PESTEL/SWOT questions, always apply the framework to the specific scenario given — generic definitions alone earn limited marks; examiners reward application.
- For "distinguish between X and Y" questions, structure your answer as a direct comparison on named criteria (e.g. liability, continuity, control) rather than describing each separately.
- For governance and ethics questions, name the relevant principle first, then explain it, then apply it to the scenario if one is given.
- Practise building two to three ready examples per PESTEL factor from the Kenyan business context so you are not inventing them under time pressure.

Quick revision summary — one line per topic:

1. Factors of production: land, labour, capital, enterprise — each earns rent, wages, interest, profit respectively.
2. Business forms trade off control, liability exposure, access to capital, and compliance burden.
3. PESTEL analyses the external environment a business cannot control but must respond to.
4. Stakeholder mapping (power vs interest) prioritises how much engagement each stakeholder needs.
5. SMEs drive employment but face finance, compliance, market-access, and infrastructure challenges.
6. Corporate governance rests on accountability, transparency, fairness, and responsibility.
7. CSR and the triple bottom line extend business responsibility beyond profit to people and planet.
8. Government intervenes in markets to correct market failure, raise revenue, and protect stakeholders.
9. International entry modes trade off risk/investment against control (export !’ licence !’ joint venture !’ subsidiary).
10. Effective business communication follows the 7 Cs and matches the channel to the message.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.